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# Monetary Sanctions May Be on the Rise as 'Frustrated' Courts Grapple With AI Hallucinations

"I would assume that they'll keep ramping up the sanctions until this gets resolved. Again, this is an error that there might have been an excuse for previously, but as we go further and further along, there'll be less and less of an excuse for," one litigator told Law.com.

6 minute read · April 02, 2026 at 04:00 AM By Riley Brennan

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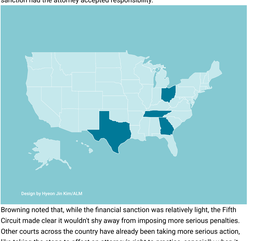
Across the country, lawyers are discovering just how quickly artificial intelligence tools can land them in hot water with a hefty charge.

Over the past year, judges have issued everything from sharply worded rebukes and monetary sanctions to referrals for professional discipline as they try to rein in attorneys whose briefs contain AI-generated hallucinations, or fabricated or inaccurate case citations produced by AI systems. As courts continue to navigate one of the legal profession's mounting technological and ethical rifts, the use and amount of monetary sanctions also seem to be increasing.

John Browning, a retired Texas Fifth Court of Appeals judge and professor at Faulkner University's Thomas Goode Jones School of Law, told Law.com that there are increasing signs that courts are losing their patience with the continuing issue. He noted that there appears to be a growing frustration among courts as AI misuse cases continue to mount, pointing to a recent decision from the U.S. Court of Appeals for the Fifth Circuit.

Last month, the federal appellate court issued a $2,500 sanction against an attorney who claimed she used several legal databases, including the generative AI products vLex and Thomas Reuter's CoCounsel, to help organize and structure her arguments. The Fifth Circuit determined that the attorney failed to check her brief for accuracy and wasn't forthcoming when pressed for an explanation of the mistakes—noting it would have likely imposed a lesser sanction had the attorney accepted responsibility.




Browning noted that, while the financial sanction was relatively light, the Fifth Circuit made clear it wouldn't shy away from imposing more serious penalties. Other courts across the country have already been taking more serious action, like taking the steps to affect an attorney's right to practice, especially when it comes to repeat offenders.

"I'm seeing some real frustration," Browning said. "Courts are really starting to take these, I think, more seriously because of the frustration that these kinds of cases are increasing around the country. And they're frustrated with it."

Recently, a federal judge in Ohio not only sanctioned two attorneys with fines, but he also referred them both to Ohio's Office of Disciplinary Counsel for "the most egregious violations of Rule 11" that he's seen in his more than 45 years on the federal bench.

On Feb. 25, Senior Judge Walter H. Rice of the U.S. District Court for the Southern District of Ohio found the two attorneys in contempt for AI hallucinations in briefs and imposed a collective sanction of $7,500—or $100 per hour for the 75 hours the court spent addressing the issues. Rice noted that the two attorneys had been put on notice by opposing counsel that some of the cases cited in their motion to dismiss did not state what the attorneys claimed. However, they still cited those same cases for the same propositions of law in their reply.

One of the attorneys claimed she used AI tools in her case research, and that she "mistakenly believed those tools were sufficiently reliable for that limited purpose." She acknowledged that she failed to verify the citations, even after she was made aware of the inaccurate citations. The second attorney also conceded that he failed to verify the presented case citations before signing his name to the documents. However, despite promising days prior that they would take affirmative steps to ensure that all citations in future filings were accurate, the attorneys submitted mediation statements that were once again rife with "patent misstatements and mischaracterizations of the law," Rice's order said.

Over the past year, the financial implications have also been growing in size.

In July, the Georgia Court of Appeals issued a $2,500 sanction against an attorney who allegedly submitted a trial court brief with two nonexistent case citations and later filed an appellate brief with 11 more hallucinated cases.

However, a sharp increase was seen earlier this year in Georgia when Clayton County Judge Tammi Long Hayward issued a roughly $25,000 financial sanction—and a state bar referral—against an attorney who was accused of using upwards of seven fictitious cases across three briefs. While the attorney admitted he used ChatGPT, he had argued he didn't know the citations were fabricated because the generative AI model failed to tell him they were.

Michael Ott, a partner at Ice Miller in Chicago, said it makes sense for sanctions to grow in severity as the newness of generative AI fades away.

"There's been a lot of publication about hallucinated cases, and people should be aware that, the same way you needed to be aware a few years back during COVID that you shouldn't have a cat filter on while you're on your Zoom meeting, people should be aware they need to check the cases in their briefs," Ott said. "I would assume that they'll keep ramping up the sanctions until this gets resolved. Again, this is an error that there might have been an excuse for previously, but as we go further and further along, there'll be less and less of an excuse for."

Eugene Volokh, a professor at UCLA School of Law, said that other courts have opted sanctions that affect the progression of a case, resulting in their client losing and potentially exposing the attorney to malpractice claims.

On March 13, the U.S. Court of Appeals for the Sixth Circuit fined two attorneys $30,000 total over an appeal containing over two-dozen fake case citations and dismissed the case after concluding that "the pervasive misconduct" rendered it "almost entirely frivolous." The court noted that the attorneys failed to comply with its order instructing them to explain themselves and provide documentation of the cited cases, and instead refused to provide the required materials, argued the order was void and accused the court of harassing them.

"I think many judges believe for plausible reason that that kind of public explanation of what the lawyer did is itself punishment because lawyers survive on their reputations, their reputations with clients, their reputations with colleagues, their reputations with judges. And I think many a lawyer would much rather have a secret admonition for which he has to pay $10,000 than a public one, which doesn't have any formal fine associated with it," Volokh said. "So I do think that, by and large, at least many courts have indeed taken pretty substantial steps to punish people."

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